

Polymarket Watchdog

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BACKGROUND



profile

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Joined Dec 2025 • 100 views

Positions Value

\$290.0k

Biggest Win

—

Predictions

4

▲ Profit/Loss

1D

1W

1M

ALL

\$410,776.97



Polymarket

Past Month



Positions

Activity

Active

Closed

Search positions

Value

MARKET

AVG

CURRENT

VALUE



Maduro out by January 31, 2026?

Yes

436,759.6 shares at 7c

7c

63c

\$272,974.76

\$240,437.48 (738.96%)



Will the U.S. invade Venezuela by January 31, 2026?

Yes

17,857.9 shares at 6c

6c

78c

\$13,964.87

\$12,964.88 (1,296.5%)



Trump invokes War Powers against Venezuela by January 31?

Yes

5,371.7 shares at 5c

5c

37c

\$1,960.67

\$1,710.68 (684.31%)



US forces in Venezuela by January 31, 2026?

Yes

1,197.8 shares at 12c

12c

95c

\$1,142.08

\$996.08 (682.25%)



Is insider trading on Polymarket Legal?

- It's complicated
- Legally users are trading (like stocks), not betting
- Polymarket is registered as a corporation offshore
 - Americans can't use the app ... officially
 - Trying to reenter the CFTC - aside
- No Know-Your-User Laws Exist!!!
- **A government official profiting off classified information is highly illegal regardless of Polymarket rules**

How can we find insider trading?

If we can find examples like the viral Maduro trade that have the following features:

- Account very recently made
- Account with no other bets
- High amount of \$\$\$ bet, relative to the market
- Trade made just before the market resolved

And prove that bets with these features win more than expected

DATA USED

Market History

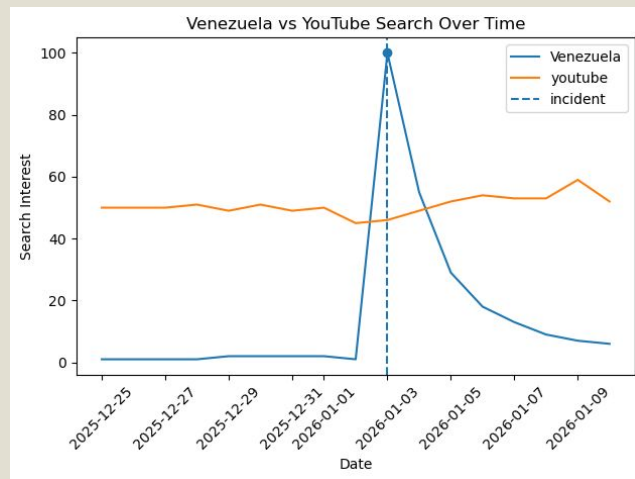
- All the trades from our markets of interest above a certain price
- Allows us to:
 - Flag suspicious trades
 - Track the price history of each market
- UserID, Bet, size, price, timestamp, slug, outcome, total_trade_value

User History

- All the trades from a user in a trade we flagged as suspicious
- Gives us further information on if a trade was an insider trade

Google Trends

- Enable us to understand how popular a topic is and if the bet amount is reasonable for the search interest.



Insider Trading Criteria

- Initial flags:
 - Large relative to the market
 - Trader is buying rather than selling
 - Price is not extreme
- User history flags:
 - Number of trades
 - Size relative to other trades

USE CASES

The Policy-Minded Reader

- Little to no technical knowledge
- Wants to read our report and take away a conclusion
- Needs a narrative

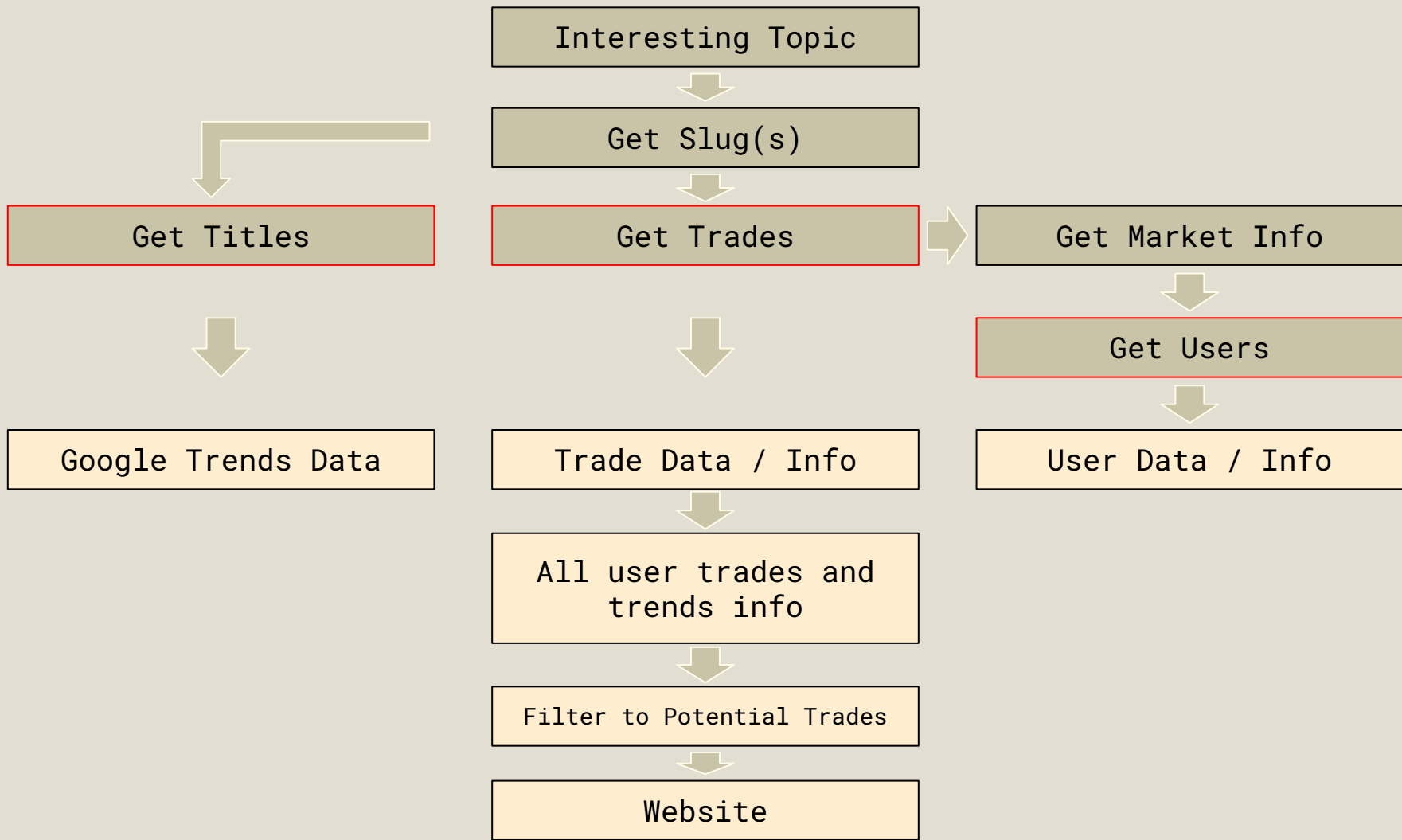
The Opportunist

- Some familiarity with Polymarket, may or may not have the skills to adapt our code
- Wants to use our report to learn about trading with the end goal of making money
- Needs a set of rules for flagging insider trading that consistently flags winning trades

The Builder

- Likely has more trading knowledge and software engineering knowledge
- Wants to understand the decisions we made and apply their own logic
- Needs access to well commented code

DESIGN



<https://changian8.github.io/insider-trading/>

DEMONSTRATION



WHAT 'S NEXT?

LESSONS LEARNED

COMMUNICATION

- Creating clear end goals
- Staying on top of project milestones

MODULARITY

- Planning our collaboration and solo work
- Knowing what inputs we don't have will look like

ADAPTATION

- Working with incomplete or challenging data
- Staying true to our goals with limited knowledge

**THANKS FOR A
FUN QUARTER!!!**